

Amazon.com, Inc.
 AMZN NASDAQ

Buy \$237.66 ▲ 4.86% 12M Price Target \$285.00 52-Week Range \$196.00 – \$278.56

Market Cap
 \$2.56T

AMZN: Bouncing Into Earnings, AI Spending Story Intact

WHAT HAPPENED

- AMZN ripped +4.86% today on lower volume than the sell-off days — that's a relief rally into Thursday's earnings, with Microsoft's blowout Azure/Copilot print last night reminding everyone that hyperscaler AI demand is still off the charts. Since AWS is Amazon's version of Azure, the read-through is bullish.
- The stock had bled four days straight into today (\$232 → \$226) — classic pre-earnings de-risking. The bounce says buyers showed up to front-run a potential beat rather than wait for confirmation.

WHY IT MATTERS

Here's what this really means: MSFT just gave the market permission to believe the AI capex story is real revenue, not just spending. AWS reports Thursday, and if Andy Jassy prints anything close to 18%+ cloud growth with expanding margins, this stock has room to \$260+ because the "AWS is losing share to Azure" narrative gets flipped. The options flow is interesting though — that put/call of 0.63 looks bullish on the surface but the big unusual puts at \$285 and \$297 tell me smart money is buying cheap insurance in case earnings disappoint, not betting on a crash. Bottom line: the setup favors upside but position accordingly because you're one guidance miss away from a \$215 handle.

POLICY & POLITICAL WATCH

The regulatory backdrop for AMZN has quietly gotten friendlier — the FTC's structural antitrust case has lost momentum under the current administration, and the focus has shifted to AI infrastructure buildout, which is a direct tailwind for AWS government contracts (they just expanded their JWCC Pentagon cloud work). Watch two things this month: (1) any movement on the SHOP SAFE Act or de minimis tariff loophole changes — closing the \$800 duty-free threshold hurts Temu/Shein and helps Amazon's third-party sellers, and (2) the ongoing China tariff posture, since AMZN's 3P marketplace has meaningful China supplier exposure and any escalation squeezes seller margins (which Amazon eventually eats). Net-net: policy tailwinds outweigh headwinds right now.

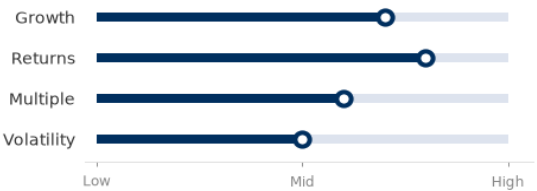
IS IT EXPENSIVE?

At ~37x forward earnings, you're paying \$37 for every \$1 of profit Amazon makes next year — that's not cheap, but it's the lowest multiple AMZN has traded at in years relative to its own history, and it's actually a discount to Microsoft (~34x but slower growing retail-free) when you strip out the low-margin retail drag. The real story: AWS alone probably justifies ~\$1.5T of the \$2.56T market cap, meaning you're getting the world's largest e-commerce business, ads (a \$60B+ run-rate business growing 20%+), and Prime for essentially cheap. Justified if AWS keeps compounding — expensive if cloud growth cracks.

Key Data

Price (USD)	\$237.66
12M Price Target	\$285.00
Upside / (Downside)	+19.9%
Market Cap	\$2.56T
FY2026E Revenue	\$743M
FY2027E Revenue	\$820M
FY2026E EPS	\$6.35
FY2027E EPS	\$7.60
Fwd P/E	37.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$245.00	\$220.00
6 Months	\$300.00	\$270.00	\$215.00
1 Year	\$330.00	\$285.00	\$210.00
2 Years	\$400.00	\$330.00	\$220.00
5 Years	\$550.00	\$425.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+5.58% today) — MSFT earnings reignited the AI infrastructure trade, and the Fed day turmoil is fading. Anything hyperscaler-adjacent is bid.

COOLING OFF: Utilities, Financials, Materials — classic risk-on rotation, money leaving defensives. Utilities also getting hit as the AI-power-demand narrative takes a breather after months of running.

ROTATION WATCH: Capital is flowing back into mega-cap tech and specifically into the cloud/AI infrastructure winners after MSFT's print — that's a direct setup for AMZN into Thursday. If AWS confirms, the rotation accelerates.

RELATED PLAY: Second-order beneficiaries of AWS strength are the data center REITs (EQIX, DLR) and power/cooling names (VRT, ETN) — Amazon's capex has to land somewhere, and those are the landlords and toolmakers.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure crushed it, Copilot monetization inflecting — the AI enterprise spend is real and accelerating.
- GOOGL (Alphabet): Gemini just joined Oracle's AI lineup, expanding distribution, and search resilience continues to defy the bear case.

AMZN CONTEXT: Amazon is lagging the mega-cap tech peer group year-to-date and sitting at only 50% of its 52-week range — that's actually the opportunity. If AWS delivers Thursday, AMZN plays catch-up to MSFT/GOOGL, and the setup for mean reversion is strong.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Bullish setup into earnings with policy tailwinds, but I'm not pounding the table 48 hours before a print that could go either way.

POSITION SIZE: 4-6% — this is a core holding for most portfolios; big enough to matter, small enough that an earnings gap doesn't wreck your year.

ENTRY POINTS: Add on any dip to \$225-230, which is where the stock found buyers this week. If earnings disappoint and it flushes to \$210, that's a table-pounding buy.

TIME HORIZON: 12-24 months — I want to own this through the full AI capex-to-revenue conversion cycle, not trade it around one quarter.

WHEN TO BAIL: AWS growth prints under 15% two quarters in a row, OR the FTC breakup case gets new life under a policy shift, OR insiders start cluster-selling (right now it's just one small CEO sale, nothing alarming).

HEDGING: If you're nervous into Thursday, buy a cheap August put around \$220 — costs a small premium and caps your downside if earnings disappoint. Don't overthink it.